

iRay Technology Company Limited | Asia Pacific

2Q26 Results In-line; Positive
2026-27 Outlook

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Mgmt maintained 2026 guidance of 50-70% y-y revenue and 25% y-y net profit growth, and was optimistic on 2027 revenue growth from all-round support...
- ...including OLED backplane, PCB CT equipment, core component/solution expansion. Mgmt believes net profit growth is likely to exceed revenue growth in 2027.
- For PCB CT inspection equipment, mgmt expects order intake from 3Q26 and revenue recognition since 2027.
- For FPD business, mgmt is positive on next-gen tech - Photon-Counting Detectors, with higher image resolution, better competition landscape, and attractive TAM.
- We stay OW on iRay and like its product competitiveness and active business expansion in product/downstream.

2Q revenue sustained solid momentum: 2Q revenue +68% y-y and +44% q-q to Rmb985mn. Stripping out Seeya contribution (Rmb240mn), 2Q revenue grew 27% y-y. By product, FPD/solution/core components grew 5%/204%/28% y-y in 2Q, respectively. By downstream, industrial segment rose ~60% y-y in 1H26, per mgmt, driven by strong battery capex cycle, as well as market share gains.

GPM erosion on product mix: 2Q GPM declined 7.3ppt y-y to 49%. By segment, FPD GPM was relatively stable at ~60%, and GPM for solution/core components improved y-y, in 1H26.

Core earnings in-line: 2Q net profit +19% y-y to Rmb227mn. Stripping out ~Rmb80mn non-recurring expense (i.e. FX loss, SBC payment, debt-equity swap) impact, recurring net profit grew >40% y-y.

New growth drivers ahead:

- OLED backplane: 2026 guidance unchanged at Rmb800mn revenue, 30% GPM and 10% NPM. Phase II is under construction, 2027 revenue will grow with margin expansion as well.
- RGA: 1H26 revenue achieved Rmb20mn, and mgmt expects Rmb50mn in 2026 and at least double y-y in 2027.
- Dental overseas: Korea market +80%+ y-y in 1H to Rmb30mn, mgmt expects

MORGAN STANLEY ASIA LIMITED+

Chelsea Wang

Equity Analyst

Jinlin.Wang@morganstanley.com

+852 2239-1118

Sheng Zhong

Equity Analyst

Sheng.Zhong@morganstanley.com

+852 2239-7821

Carlos Chai

Research Associate

Carlos.Chai@morganstanley.com

+852 3963-3180

Andy Huang

Research Associate

Huang.Andy@morganstanley.com

+852 3963-4023



iRay Technology Company Limited (688301.SS, 688301 CG)

China Industrials | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb140.00
Up/downside to price target (%)	43
Shr price, close (Aug 13, 2026)	Rmb97.86
52-Week Range	Rmb153.29-65.21
Sh out, dil, curr (mn)	211
Mkt cap, curr (mn)	Rmb20,692
EV, curr (mn)	Rmb18,787
Avg daily trading value (mn)	Rmb550

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.07	2.79	3.49	4.30
EPS (Rmb)§	3.05	2.98	3.76	4.60
Revenue, net (Rmb mn)	2,251	3,626	4,610	5,572
EBITDA (Rmb mn)	733	1,324	1,616	1,883
ModelWare net inc (Rmb mn)	650	825	1,033	1,272
P/E	23.5	25.1	20.0	16.3
P/BV	2.5	4.1	3.6	3.1
RNOA (%)	30.6	13.7	15.0	19.4
ROE (%)	14.0	13.3	14.7	15.8
EV/EBITDA	18.2	14.2	10.9	8.5
Div yld (%)	1.4	0.0	0.0	0.0
FCF yld ratio (%)**	(2.2)	(1.2)	4.7	6.5
Leverage (EOP) (%)	(10.0)	(5.5)	(17.2)	(29.6)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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it to double y-y in 2026 and see high growth into 2027.

Exhibit 1: 2Q26/1H26 results summary

Rmb mn	2Q25	3Q25	4Q25	1Q26	2Q26	2Q26 YoY	1H25	2H25	1H26	1H26 YoY
Revenue	585	482	702	686	985	68%	1,067	1,184	1,671	57%
--FPD	490			440	513	5%	866	848	953	10%
--ODM/solution	33			20	100	204%	63	128	120	91%
--Core components	52			70	66	28%	82	88	136	67%
--OLED (SeeYA)	-			110	240	n.a.	-	50	350	n.a.
COGS	256	242	351	372	503	97%	502	593	874	74%
Gross Profit	329	240	351	315	482	46%	565	591	797	41%
Sales taxes and extra charges	6	7	(3)	8	8	34%	9	4	15	67%
Selling expense	23	25	16	24	34	49%	46	41	58	26%
Administrative expense	35	23	45	33	37	6%	59	68	71	20%
R&D expense	94	74	112	88	141	50%	154	185	229	49%
Operating profit	171	112	180	162	262	53%	297	293	423	43%
Financial expense	10	(1)	11	(37)	(45)	n.a.	7	10	(82)	n.a.
Investment income	4	27	(2)	1	3	-31%	4	25	4	-9%
Credit impairment loss	6	(6)	(44)	0	(3)	n.a.	5	(50)	(3)	n.a.
Net income from fair value changes	(6)	(4)	(38)	2	(1)	-79%	(6)	(43)	0	n.a.
Other non-operating income	26	13	73	64	62	133%	58	86	126	118%
Profit before income tax	213	143	176	191	279	31%	367	319	471	28%
Income tax expense	24	11	0	9	44	83%	42	12	53	26%
Net profit after tax	189	132	175	182	236	24%	325	307	418	29%
Minority interest	(2)	(4)	(4)	4	9	n.a.	(10)	(8)	12	n.a.
Profit attributable to equity holders	191	136	179	179	227	19%	335	315	406	21%
Margins										
Gross Margin	56.3%	49.8%	50.0%	45.8%	49.0%	-7.3%	53.0%	49.9%	47.7%	-5.3%
Sales taxes and extra charges	1.0%	1.4%	-0.4%	1.1%	0.8%	-0.2%	-0.9%	-0.3%	-0.9%	-0.1%
Selling expense	4.0%	5.1%	2.3%	3.5%	3.5%	-0.5%	-4.3%	-3.5%	-3.5%	0.8%
Administrative expense	6.0%	4.8%	6.4%	4.8%	3.8%	-2.3%	-5.5%	-5.7%	-4.2%	1.3%
R&D expense	16.1%	15.3%	15.9%	12.8%	14.3%	-1.8%	-14.5%	-15.7%	-13.7%	0.8%
OP Margin	29.2%	23.3%	25.7%	23.5%	26.6%	-2.6%	27.8%	24.7%	25.3%	-2.5%
Tax Rate	11.2%	7.9%	0.2%	4.6%	15.7%	4.4%	11.4%	3.7%	11.2%	-0.2%
Net Margin	32.7%	28.2%	25.6%	26.1%	23.0%	-9.7%	31.4%	26.6%	24.3%	-7.1%

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

iRay Technology Company Limited (688301.SS)

Base case, DCF

- WACC of 7.5%: Cost of equity of 8.5% (risk-free rate 3.5%, market risk premium of 5.5%, beta of 0.9); cost of debt of 5.5%; and long-term corporate tax rate of 12%.
- Sustainable earnings growth in 2025-33: We assume +20% CAGR pretax profit in 2026-33.
- Stable capex: We assume Rmb1.2bn/700mn/600m annual capex in 2026-28, stabilizing at Rmb200-300mn from 2029.
- Terminal growth rate of 4%: We assume steady growth period starts in 2033.

Risks to Upside

- Faster-than-expected import substitution in the medical device market
- Better-than-expected share gains in the industrials segment

Risks to Downside

- Intensified market competition and continuous aggressive pricing strategy
- Slower-than-expected launch of CT detector/CT tube

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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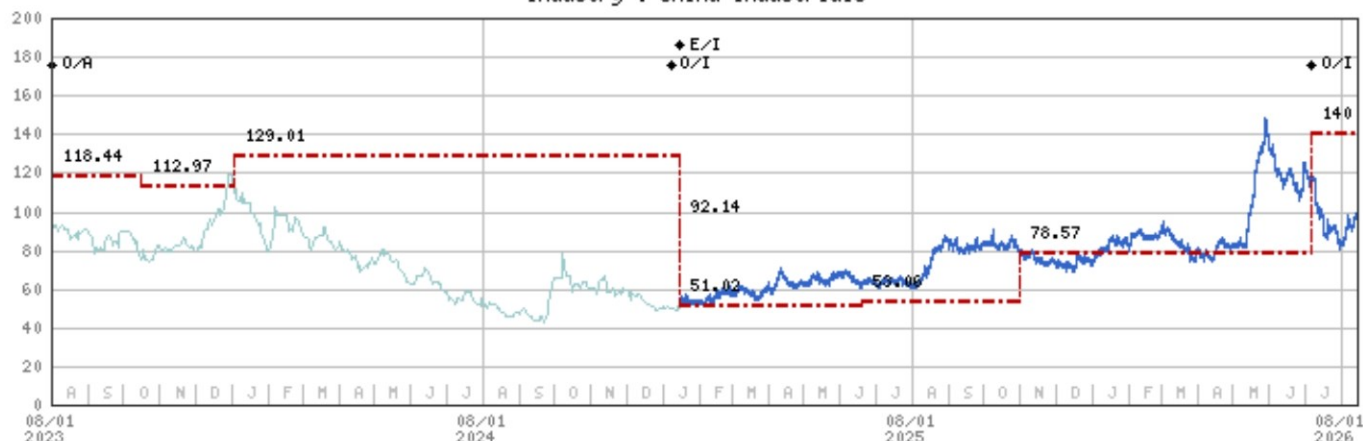
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iRay Technology Company Limited (688301.SS) - As of 08/14/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 2/8/23 : O/A; 1/8/25 : O/I; 1/16/25 : E/I; 7/7/26 : O/I

Price Target History: 2/8/23 : 156.19; 5/23/23 : 118.44; 10/16/23 : 112.97; 1/3/24 : 129.01; 1/15/25 : 92.14; 1/16/25 : 51.02; 6/19/25 : 53.06; 11/1/25 : 78.57; 7/7/26 : 140

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/13/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.39
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.41
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.44
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb94.75
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.11
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb97.86
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb53.00
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb102.23
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb55.45
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$10.45
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.11
CRRCLtd (1766.HK)	U (01/22/2026)	HK\$4.95
CRRCLtd (601766.SS)	U (01/22/2026)	Rmb5.90
DR Laser (300776.SZ)	E (12/17/2021)	Rmb116.30
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb34.67
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.06
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb36.02
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.35
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb106.01
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb42.74
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb346.00
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.72
Shenzhen Inovance Technology (300124.SZ)	++	Rmb61.07
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb58.80
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$39.52
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb173.09
Times Electric (3898.HK)	E (01/22/2026)	HK\$35.16

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$35.64
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb30.10
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb41.53
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb34.63
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb56.63
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb22.22
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb38.26
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$6.80
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb6.97

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